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10. The following are the extracts from the trial balance.

Particulars	Debit `	Credit `
Sundry debtors	50,000	
Discount on debtors	2,000	
Bad debts	3,000	

Additional information:

(a) Create a provision for doubtful debts @ 10% on sundry debtors.
(b) Create a provision for discount on debtors @ 5% on sundry debtors.

You are required to pass necessary adjusting entries and show how these items will appear in the final accounts.

(**Answer**: Profit and loss account: Provision for bad and doubtful debts ` 8,000 (Dr.),
Provision for discount on debtors: ` 4,250 (Dr.);
Balance of sundry debtors in balance sheet: ` 42,750).

11. Following are the extracts from the trial balance.

Particulars	Debit `	Credit `
Sundry debtors	50,000	
Discount on debtors	1,000	
Bad debts	3,000	
Provision for doubtful debts		5,000
Provision for discount on debtors		2,000

Additional information:

(a) Additional bad debts ` 1,000
(b) Create a provision for doubtful debts @ 5% on sundry debtors.
(c) Create a provision for discount on debtors @ 2% on sundry debtors.

You are required to pass necessary journal entries and show how these items will appear in the final accounts.

(**Answer**: Profit and loss account: Provision for bad and doubtful debts: ` 1,450 (Dr.)
Provision for discount on debtors: ` 69 (Cr.)
Balance of sundry debtors in balance sheet: ` 45,619)

12. The following are the extracts from the trial balance.

Particulars	Debit `	Credit `
Sundry Creditors	--	30,000
Discount received	--	1,000

You are required to show how these items will appear in the profit and loss account and balance sheet.

(**Answer**: Profit and loss account: ` 1,000 (Cr.),
Balance of sundry creditors in balance sheet: ` 30,000)